

A Change of Pace



PDF



Navigating
tech
valuations
and
identifying
opportunities
in Europe

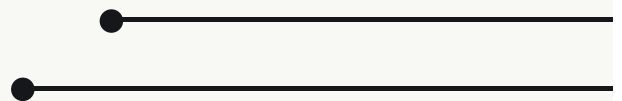
19
Apr
2024

CIO
Perspectives



Key Takeaways

- > Although adaptability has consistently contributed to strong performance, this quarter our Global, International, Emerging Markets, and US strategies saw robust returns due primarily to our decision to stay still
- > We maintain an overweight position in technology, semiconductors, and AI-driven capital expenditures, confident that the sector offers undervalued opportunities with strong fundamentals and sustainable earnings, contrasting with the overvalued prices observed during the 2021 tech boom
- > Our outlook on Europe is improving, with energy prices stabilizing more than expected and regulatory easing in the banking sector spurring credit growth, especially in southern Europe, where the energy and banking sectors are showing promising opportunities



As we close another quarter of strong performance, it is energizing to look back and see the level of returns that we have delivered to our clients in all our core strategies. In fact, as a firm, most of our asset growth in the past 12 months, has been a result of performance, rather than net inflows. It is

also worth noting that most of the best performers in our portfolios over the past 12 months are completely different than those that we held in the prior two years.

**It is
remarkable
how much
long-term
advantage
people like us
have gotten by
trying to be
consistently
not stupid,
instead of
trying to be
very
intelligent.”**



**— Charlie
Munger¹**

We are certainly proud of being adaptive and reacting when the data changes. Ironically, those traits were not very useful

in the last quarter. Rather, the last few months have required the ability to stay still and resist the urge to move things around. As Charlie noted in the quote above, we simply tried to not be stupid and to avoid disrupting what was working.

Similar to what we wrote in our last letter, we have remained bullish on the US and Emerging Markets, including Brazil, and India, while excluding China. Our excitement for the semiconductor industry and AI-driven capex, in general, has also grown, as has our appetite for European banks.

We remain overweight in areas like technology (in each of the four core strategies) and health care (in the Developed Markets strategies), even though those seem to be in line with consensus these days. Although our energy sector exposure has come down across the board, as we increased our allocation to US tech names, we continue to view the underlying industry dynamics as quite positive and we particularly favor the attractiveness of non-US energy companies, both on a shareholder return and valuation basis.

Additionally, we continue to view the world as a “glass half full” scenario, with quite a bit more good than bad, which was not our view just a couple of years ago, particularly at the end of 2021.

While in our view, the global inflation picture has turned more benign in the short run, our conviction to stay the course over the last quarter was driven by micro, rather than macro, as strong fundamentals continue to play out across a variety of areas thus underpinning their attractiveness. With

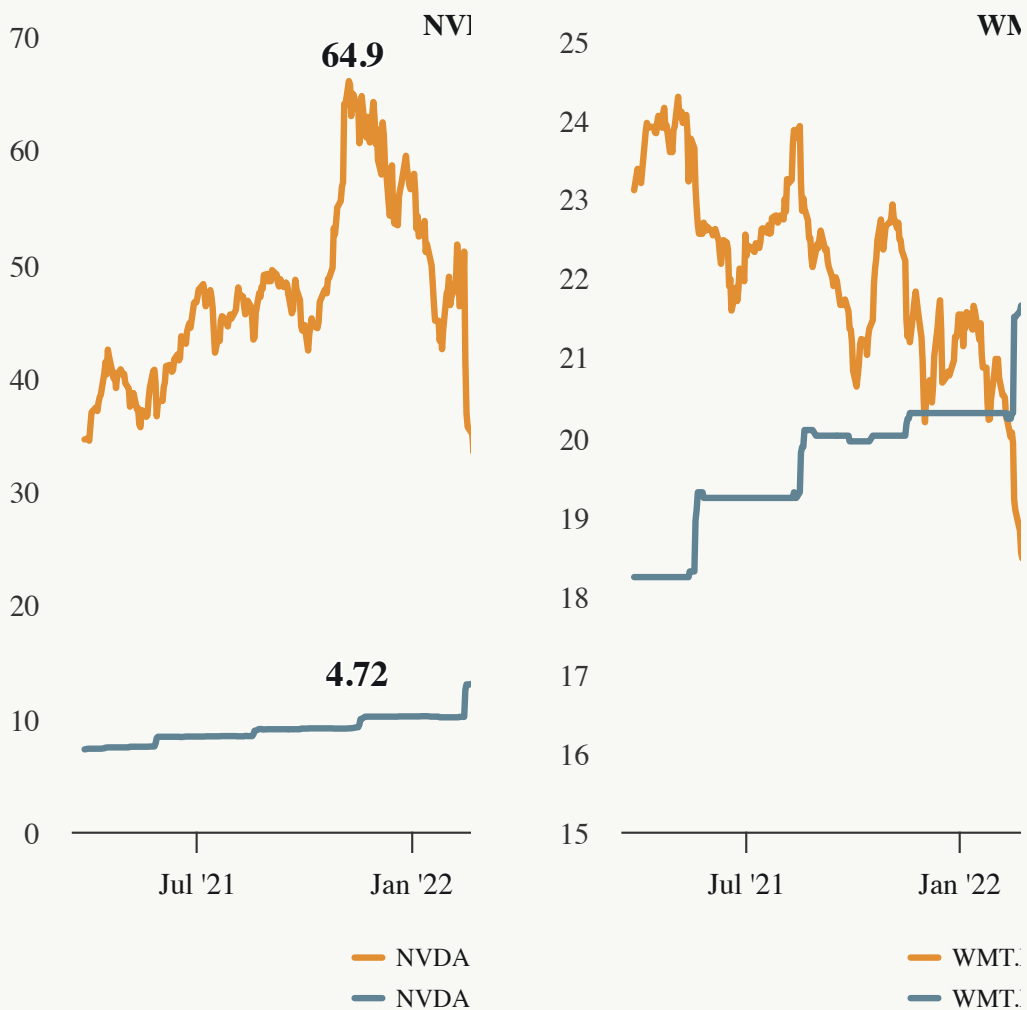
that being said, let's look at a couple of key areas that we often get questions about: valuations and what's changing.

| WHAT ABOUT VALUATION?

We often get the question—especially when it comes to technology—isn't this a lot like 2021 where everything just went up in the prior 12-15 months until valuations were meaningfully out of whack? We don't think so. Overall, market dynamics were quite different back then when our view was that we had hit: peak earnings, peak multiples, and peak expectations. Profitable and unprofitable tech continued to surge regardless of the fundamentals at the time—until the music stopped.

2024 has Little in Common with 2021

NVIDIA vs. Walmart – Earning



Source: LSEG Datastream. Data for

Let's take NVIDIA as an example. In our view, there is no question NVIDIA is a fantastic franchise and we believe that was also the case in Nov. 2021. The company was trading at ~65x forward earnings. But given the growth dynamics for NVIDIA at that time, we simply found the company to be too expensive. However, as we roll forward across 2022 and 2023, we can see from the chart, that NVIDIA is now cheaper today and trading at less than half of what it traded at in 2021 as earnings, both realized and expected, have surged.

Contrast this with another great franchise, Walmart, also

highlighted in the above chart. We believe Walmart is a great business, it's the highest revenue producing company in the world and has benefited over the last several years by an increased push into eCommerce and gains through advertising. But we don't believe Walmart can deliver EPS growth anywhere in the ballpark of NVIDIA, given the size and nature of its business, so our view is you must be careful in terms of what you pay given the nature and steadiness of the business. When looking at the chart, a very "steady eddy" business can be quite attractive at say 17x forward earnings, but not nearly as attractive toward the mid-20s, in our view, given the overall growth rate.

Because of this, for us, it's important to think about the overall opportunity set and what we have to pay for a particular earnings stream. Given the headroom for growth on a company like NVIDIA, even though it has gone up so much recently, we would rather pay ~30x forward for a company growing at 30 per cent+ per annum, rather than pay 23x forward for a company likely to grow in the high single digits.

Two great franchises, but two radically different opportunities today, in our view.

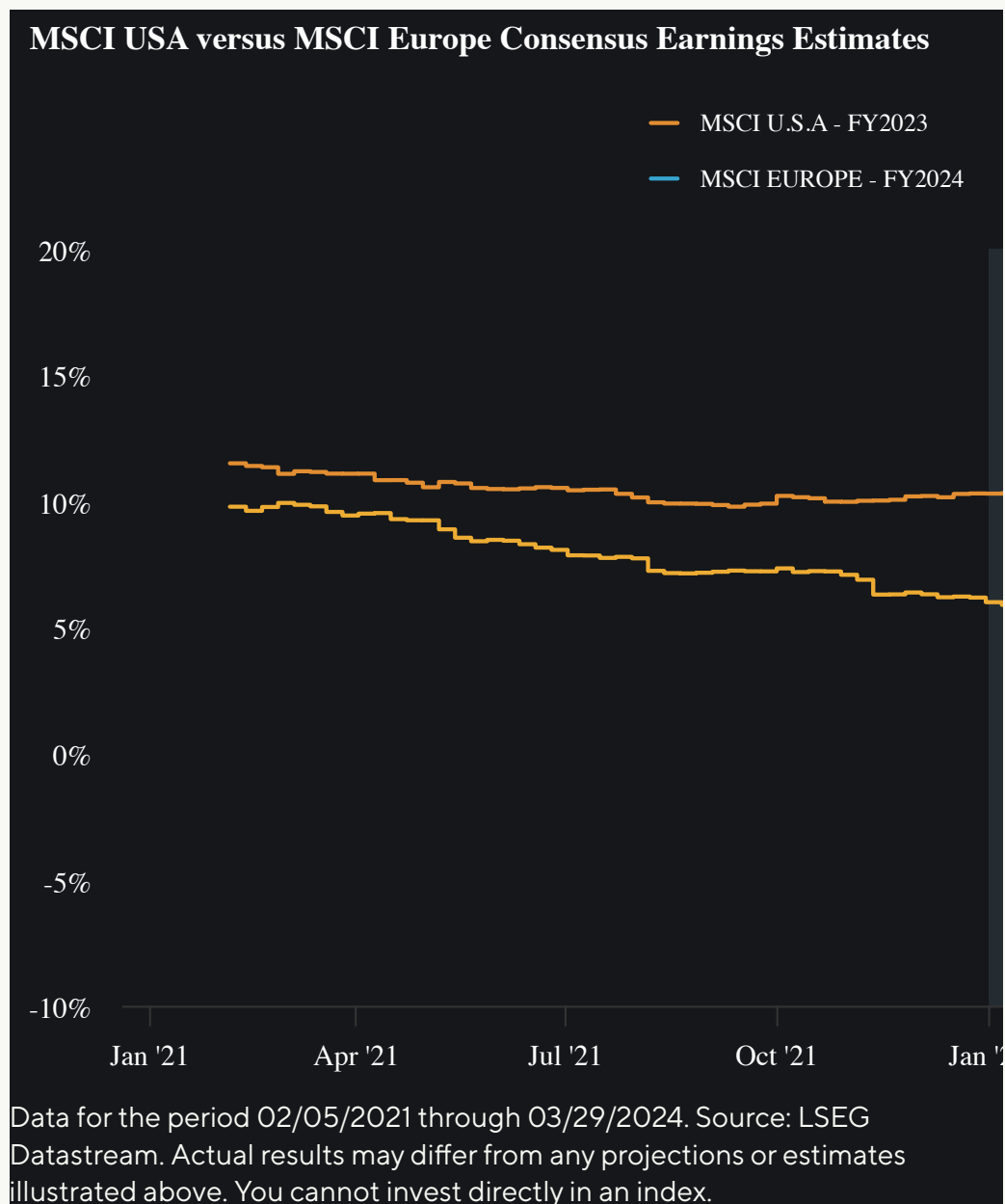
While NVIDIA has very much hit the zeitgeist of "consensus opportunity", let's switch gears to an area where this might not be the case, but where things appear to be improving: Europe.

| LESS BAD IS GOOD

In markets, on a scale of one to ten, if ten is the best and one is the worst, going from nine to seven could be a disaster. On the other hand, going from two to four could be quite wonderful.

In our view, we feel Europe continues to improve, driven by two primary factors: energy and banking.

Improving Expectations



First of all, energy prices have normalized far more than what everyone predicted not that long ago, and this is broadly positive for Europe.

Second, we think the banking system seems to be in pretty good shape, and the regulators seem to have backed off a little, so we feel and have heard from lenders that credit growth could finally come back in Europe. Also, the improving global economy benefits Europe since it's still a very heavy export-oriented region.

This doesn't mean that Europe doesn't have its issues or that we're sanguine on every area there. We quite like Southern Europe, particularly banks and energy companies based on their policies of increasing returns to shareholders. Our view is that there are a variety of companies with high quality asset bases that trade at attractive valuations. These companies are throwing off mid-teens free cash flow yields with low double-digit shareholder returns when combining dividends and share buybacks.

Contrast this with, say, the German auto industry, which might be *okay* for now, but is seeing a real threat from Chinese electric vehicles (EV), something that was *not* the case just a few years ago. No doubt there is backlash from the invasion of Chinese EVs, but there's little that the Germans can do about it given how much Germany exports its own cars to China, in our opinion. The fear of a major policy backlash is probably too high to do much about the EV imports.

| NO NEWS IS GOOD NEWS

Fortunately, this is all the news we have to share with you this quarter. We apologize if it's boring, but in investing, where the dynamics are ever changing and volatility can at

times reign, we appreciate when things are quiet and working—while remaining vigilant and ready to adapt if needed. Knowing from experience that past performance is not a guarantee of future performance, we would welcome the extension of these ordinary days when we write to you next time, hopefully we can report more of the same dynamics and results that we have seen so far this year.

As always, thank you for your continued support.

Rajiv Jain

Chairman & Chief Investment Officer

GQG Partners LLC

END NOTES

¹Munger, Charlie. [Wesco Annual Report](#). 1989.

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